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The Hidden Hand of AI: What's Really Moving Markets, Jobs, and Bitcoin in 2025

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In [this week's video](#), I explore how artificial intelligence is accelerating structural shifts across markets, the labor force, and geopolitics. While stock indices continue to rise and approach all-time highs, job growth is weakening beneath the surface, particularly in sectors outside healthcare and leisure and travel. This divergence signals the emergence of a "silent recession," where AI-driven efficiency and cost-cutting are fueling corporate profits at the expense of labor demand. This dynamic will continue to put pressure on the government to keep interest rates down and focus on liquidity and growth rather than austerity, and will also impact the Fed in the coming months. I also highlight how embodied AI—robots, drones, and autonomous systems—is moving us from a software-driven economy to one increasingly dependent on hardware, semiconductors, electricity, and rare earth minerals.

The final part of the video connects AI to Bitcoin and stablecoins. I outline nine reasons why I think Bitcoin will surprise to the upside this year, driven by expanding stablecoin volumes, institutional adoption, favorable political signals, and the reawakening of innovation tokens such as Ethereum and Solana. I also highlight the significance of Circle's IPO, one of the largest underpricings in recent history, as a clear signal of how central stablecoins have become to the future of digital finance. With the Genius Act still pending, 2025 is shaping up to be the year of stablecoins, driven by powerful network effects as AI agents accelerate adoption. AI is becoming the bridge between the digital and traditional financial worlds, enabling seamless transaction flows, automated decision-making, and scalable financial infrastructure. These developments reinforce the idea that AI and crypto, two disruptive technologies, are no longer speculative narratives but central forces shaping global capital markets in the new modern world.

Timestamps:

AI's Expanding Influence Across Markets and Geopolitics (00:00–04:20)

AI is rapidly transforming the stock market, labor dynamics, and even global trade policy. The shift is from software to hardware—driven by rising demand for semiconductors, power, and rare earths. I argue that AI has been central in softening and now, in my opinion, ending the China US trade war, through the importance of the rare earth minerals in embodied AI systems.

1. Broadening Market Strength and No Imminent Recession (00:40–01:21, 11:09–12:28)

Markets continue to rise, with small-cap indices like IWM showing bullish reversal patterns. Despite weakening job data, there's no evidence of a traditional, credit-driven recession. Companies are adapting with AI-driven productivity, not widespread layoffs. Labor market softness is viewed as structural, not cyclical.

2. Misaligned Investor Sentiment and Strategy (03:03–03:21)

Investor sentiment remains overly bearish despite market strength. Data from Investors Intelligence shows that sentiment has barely improved from 2022 levels. I highlight the difficulties for those still focused on outdated frameworks like recession probabilities, arguing they are missing the AI-led market regime shift.

3. The Rise of Embodied AI and Energy Infrastructure Bottlenecks (04:23–06:40)

AI is entering the physical world—robots, drones, humanoids—requiring vast infrastructure upgrades. Mark Andreessen highlights embodied AI as the next transformative wave, akin to his "software eats the world" thesis. Securing energy and compute resources is becoming the central investment theme.

4. Rare Earth Minerals and the New Trade Reality (18:07–24:00)

China's export controls on rare earth elements have forced the U.S. back into trade talks. These minerals are essential to defense, electronics, and AI hardware. Rubio and others now openly acknowledge U.S. vulnerability. Europe is also scrambling to secure supply, including investments in Greenland. Rare earth control is shifting geopolitical leverage to China.

5. Housing Market Risks Are Misinterpreted (15:23–16:46)

Although home affordability is strained due to high interest rates, delinquencies remain at record lows. Most U.S. mortgages are locked in at low rates or paid off. I see the current housing fears as premature and argue rising rates will eventually trigger liquidity; potentially driving renewed support for risk assets like Bitcoin.

6. AI-Driven Labor Market Restructuring (10:50–14:50)

Job growth in 2024 is concentrated in healthcare and government-supported sectors. Sectors like tech, mining, and transportation show flat or negative hiring. The speaker describes a "silent recession," where AI is reducing hiring needs while maintaining revenue growth, transferring gains from labor to capital.

7. Bitcoin's Setup for an Upside Breakout (35:12–40:16)

Bitcoin has been consolidating, but is poised for upside. Catalysts include stablecoin volume growth, institutional and political support, and the return of utility tokens. The Genius Act and continued U.S. debt monetization are also cited as tailwinds. I see parallels to the post-dot-com rebound, where innovation-led assets rebounded first.

8. The Lag in Utility and Innovation Tokens (35:44–37:20)

Most crypto tokens, especially Ethereum-related, remain near their lows from the 2022 crash. Despite weak price action, technical setups suggest an eventual breakout. The speaker compares the environment to the early 2000s post the Dot Com Bubble, when sentiment lagged the recovery. Breakouts in small caps and crypto may converge.

9. The Strategic Necessity of AI Literacy (29:01–31:36)

Daily use of AI is critical for professionals and students alike. I emphasize using tools like Perplexity, LLMs, and prompt chaining for research, investing, and content creation. I reframe "hallucinations" as opportunities for creative breakthroughs, similar to AlphaGo's famous Move 37. Those who embrace AI will be best positioned to build future wealth.

Watch here: https://youtu.be/rDn09OXZ_M8

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